

The Cultural Environment of International Business

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Learning objectives

- Understand **cross-cultural risk** and why it matters in international business.
- Learn the **dimensions of culture** — values, customs, time, space, symbols and social structure.
- Describe the role of **language and religion** in culture.
- Describe culture's effect on **international business** practice.
- Learn the main **models and explanations** of culture — Hall, Hofstede, Schwartz and the GLOBE study.
- Position culture within the **PESTEL** macro-environment framework.
- Identify **managerial guidelines** and skills for cross-cultural success.

Opening activity: culture in this room

IN-CLASS OPENER · 10 MINUTES · PAIRS

Objective: use the cultural diversity of this class as a living dataset — and experience how quickly “normal” differs across borders.

- 1 Pair up with someone from a **different home country**.
- 2 Compare how these work at home: **greeting a business partner** · **punctuality** (what counts as “late”?) · **addressing a professor or boss** · **disagreeing openly in a meeting**.
- 3 Find **one thing that would be a faux pas** in your partner’s country but perfectly normal in yours.
- 4 Report the most surprising difference — we will map your answers onto today’s frameworks (Hall’s context, Hofstede’s dimensions).

PART 1

Culture in the Macro-Environment

PESTEL — and why culture is the heart of the “S” factor



The macro-environment: PESTEL — and where culture sits

Firms scan the macro-environment along six factors. The framework goes back to Francis Aguilar's ETPS taxonomy (Scanning the Business Environment, 1967) and evolved into PEST and PESTEL through the 1980s–90s (cf. Fahey & Narayanan 1986).

P · Political

Political stability · trade policy · tariffs · government intervention

E · Economic

GDP growth · inflation · exchange rates · disposable income

S · Sociocultural

Demographics · values & lifestyles · religion · language · education

T · Technological

Digitalization · infrastructure · R&D intensity · automation

E · Environmental

Climate change · sustainability regulation · resource scarcity

L · Legal

Employment law · IP protection · product standards · competition law

- The cultural environment is the **core of the S factor** — everything in this session feeds a PESTEL analysis there.
- But culture also **colors the other letters**: political culture and corruption norms (P) · how law is enforced, not just written (L) · consumption and saving patterns (E).

Application: IKEA's India entry through the PESTEL lens

Factor	What IKEA found	What IKEA did
P — Political	India opened single-brand retail to 100% FDI in 2012 — with a ~30% local-sourcing requirement	Applied June 2012; ₹10,500-crore plan approved 2013 — the first major single-brand retailer cleared
E — Economic	Highly price-sensitive consumers; incomes far below IKEA's usual markets	~1,000 products under ₹200 (cheapest: ₹15) — an India-specific low-price architecture
S — Sociocultural	No beef or pork for large parts of the population; strong vegetarian tradition; weak DIY culture	Restaurant serves chicken and vegetarian dishes — biryani, samosas; assembly service with Urban Company-trained carpenters instead of pure flat-pack DIY
T — Technological	Mobile-first market; e-commerce booming	Online sales plus smaller city-centre formats (Mumbai) alongside the big-box stores
L — Legal	The 30% local-sourcing rule and state-level retail regulation	Built up Indian supplier relationships (IKEA had sourced from India for decades) to meet the requirement

Store rollout: Hyderabad (Aug 2018) → Navi Mumbai (2020) → Bengaluru (2022) → Mumbai city formats + online. The biggest adaptations sit in the S row — the cultural environment is the heart of PESTEL's sociocultural factor. Sources: CNBC, 9 Aug 2018; Business Today (2013 FDI approval); The News Minute; World Economic Forum (2018).

PART 2

What Is Culture?

Its nature, its dimensions, and how it shows up in business



Key concepts

- **Culture:** The values, beliefs, customs, arts, and other products of human thought and work that characterize the people of a given society.
- **Cross-cultural risk:** A situation or event where a cultural miscommunication puts some human value at stake. It arises in environments comprised of unfamiliar languages, and unique values, beliefs, and behaviors.
- **Socialization:** The process of learning the rules and behavioral patterns appropriate to one's society.
- **Acculturation:** The process of adjusting and adapting to a culture other than one's own; commonly experienced by expatriate workers.

What culture is — and is not

- **Not right or wrong — it is relative.** There is no cultural absolute; different nationalities simply perceive the world differently.
- **Not about individuals — it is about groups.** Culture is a collective phenomenon of shared values and meanings.
- **Not inherited — it derives from the social environment.** We are not born with a shared set of values; we acquire them through socialization.
- Consequence for managers: cultural differences are **learned — and therefore learnable.**

Culture: the essential elements

Culture radiates into every part of international business — today's agenda follows these six elements.

Culture

Cross-cultural risk

Dimensions of culture

Language

Religion

Models & explanations

Managerial implications

Culture as an iceberg

High culture — visible

Fine arts · literature · drama · classical music

Folk culture — we are aware of it

Humor · religion · etiquette · popular music · cooking · dress · rites of passage · courtship

Deep culture — below the waterline, we are unaware of it

Gender roles · greeting rituals · superior–subordinate relationships · family ties · conversational patterns · nonverbal communication · concepts of beauty · right vs. wrong · cooperation vs. competition · decision-making · problem-solving · perceptions of color ... and much more

The management problem: business blunders happen mostly **below the waterline** — in the part of culture nobody can see or explain to you.

Key dimensions: values and attitudes

- **Values** are a person's judgments about what is good or bad, acceptable or unacceptable, important or unimportant — the bedrock of culture.
- **Attitudes and preferences** are developed from values; like opinions, but often held unconsciously.
- Values common to Japan, North America and Northern Europe: **hard work, punctuality, wealth acquisition** — yet their meaning and weight differ across the three.
- Managers cannot observe values directly — they must **infer** them from behavior, which is where misreadings begin.

Manners, customs and perceptions of space

- **Manners and customs:** ways of behaving and conducting oneself in public and business situations — greetings, gift-giving, dining, dress codes.
- **Perceptions of space:** each culture's orientation to personal space and conversational distance — Latin cultures stand close; Northern Europeans keep distance; open-plan vs. private offices.
- Getting these wrong rarely kills a deal by itself — but it quietly signals **lack of respect and preparation**.

Perceptions of time: monochronic vs. polychronic

- Time dictates expectations about **planning, scheduling, profit horizons and what counts as “late”**.
- **Monochronic:** a rigid orientation — schedules, punctuality, time as a resource to be spent, saved or wasted; “time is money”. Typical: Northern Europe, North America, Japan (for schedules).
- **Polychronic:** a flexible, non-linear orientation — long-term perspective, several things at once, relationships before schedules. Typical: Middle East, Latin America, Africa, parts of Asia.
- Practical consequence: a Viennese agenda with minute-slots meets a Brazilian meeting that *starts* with 40 minutes of relationship talk — **neither side is “wrong”**.

Symbols: the meaning of colors around the world

Color	Europe & North America	China	Japan	Middle East
Red	Danger, stop, anger, love, passion	Good luck, joy, celebration, long life	Celebration, danger, anger	Danger, anger, evil
White	Purity, peace, brides	Mourning, death, humility	Mourning, death, purity	Mourning, death, purity
Black	Death, evil, mourning	Evil, color for young boys	Evil	Evil
Green	Money, safety, luck, prosperity	Youth, growth, adultery	Life, energy, freshness, youth	Strength, luck, fertility
Blue	Sadness, calm, trust, masculinity	Strength, power, immortality	Purity, cleanliness	Protective

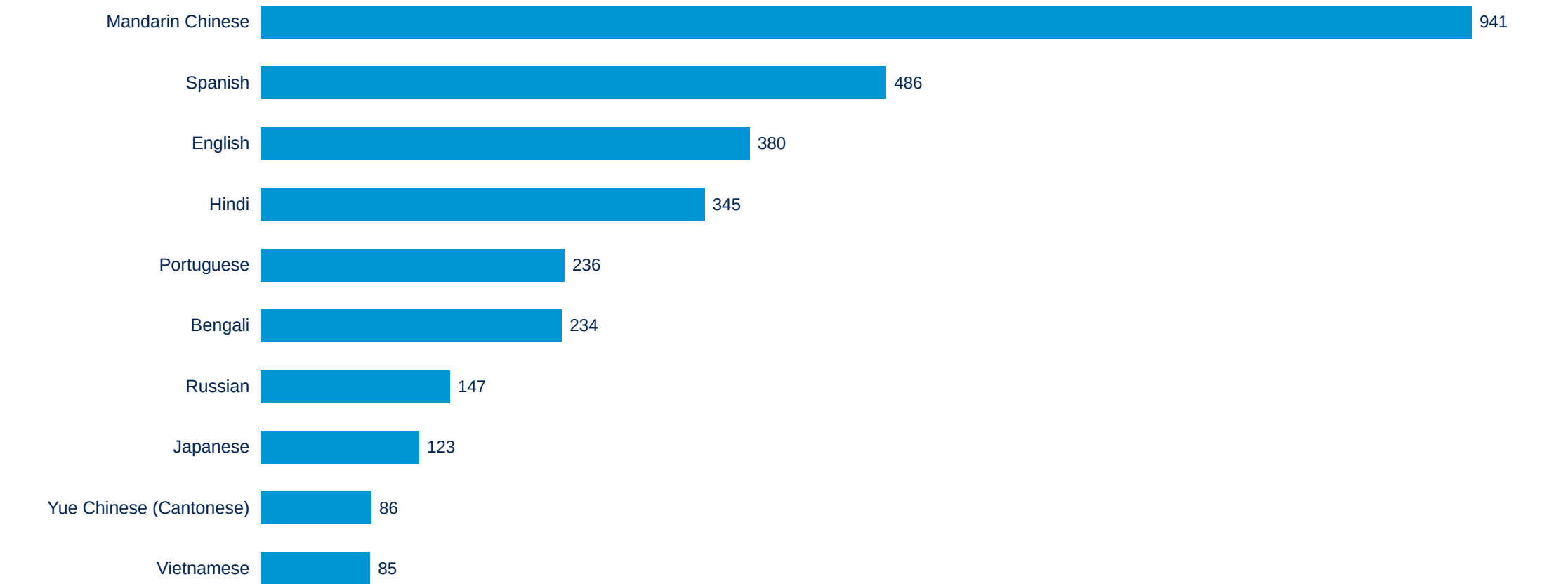
Why packaging, branding and web design rarely translate one-to-one. Based on Gao & Xin, Color Research & Application; cross-cultural color-meaning studies.

- **Social structure** is the pattern of social arrangements and organized relationships that characterize a society.
- Building blocks: **individuals** → **family** → **reference groups** → **social stratification**.
- **Family** means the nuclear family in some cultures and the extended clan in others — with direct consequences for consumption, saving and hiring.
- **Reference groups** (friends, colleagues, community) shape buying behavior; **stratification** (class, caste, mobility) shapes who can buy, sell and lead.

Language: a key dimension of culture

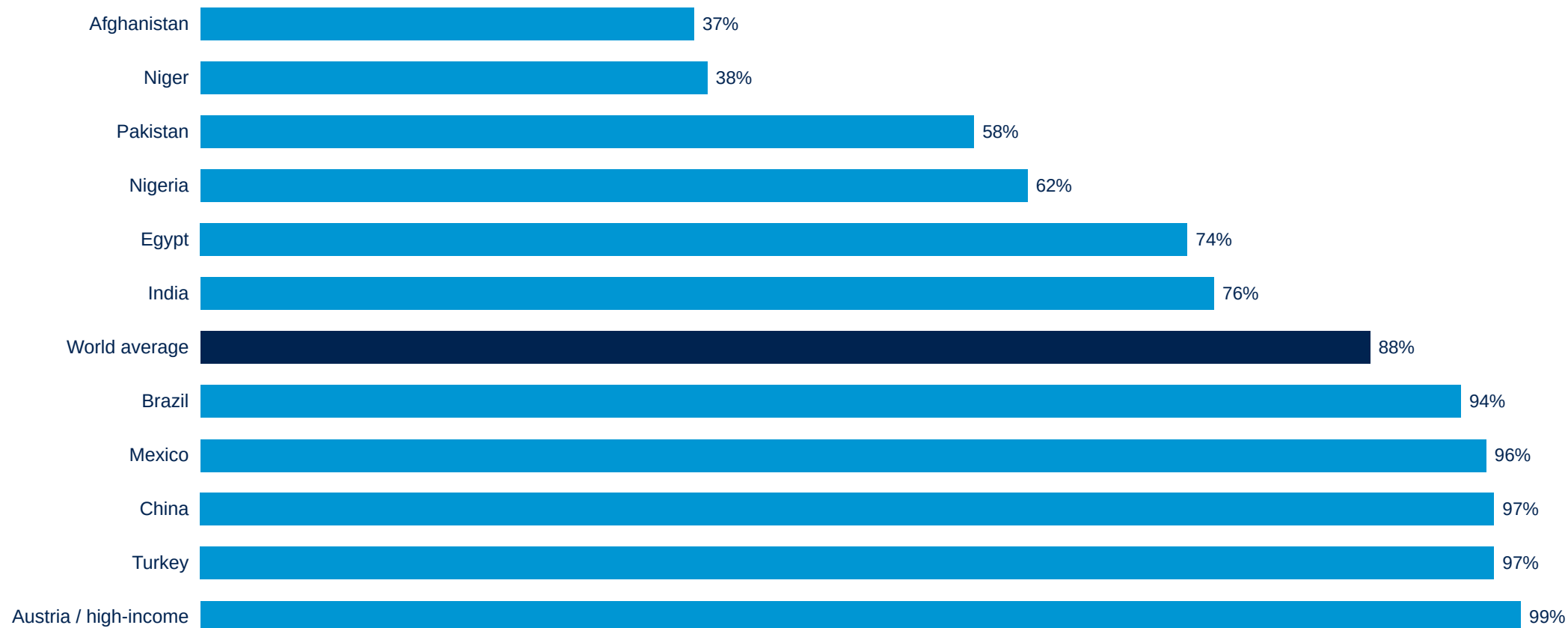
- Language is the **“mirror” of culture** — essential for communication and a window into how a society thinks.
- There are about **7,160 living languages** (Ethnologue 2025) — roughly 2,290 in Asia and 2,150 in Africa, together nearly two-thirds of the total.
- Language has **verbal and nonverbal** layers — unspoken cues, facial expressions and gestures carry much of the meaning.
- **Linguistic proficiency is a strategic asset** in international business: it builds trust, reveals nuance and prevents costly misunderstandings.

Most spoken native languages (millions of first-language speakers)



First-language speakers, millions. By total speakers the order flips: English ~1.53 bn, Mandarin ~1.18 bn, Hindi ~0.61 bn, Spanish ~0.56 bn. Source: Ethnologue, 27th/28th ed. (2024/2025); Bengali and Portuguese are near-tied and swap ranks between editions.

Adult literacy rates, selected countries (% of population 15+)



Share of population aged 15+ able to read and write; latest available year per country (2018-2024). Egypt and Turkey approximate. Source: World Bank / UNESCO Institute for Statistics (SE.ADT.LITR.ZS); UNESCO International Literacy Day factsheet 2025 (world ~88%).

Idioms: culture in a single sentence

- An **idiom** is an expression whose symbolic meaning differs from its literal meaning — you cannot decode it word by word.
- **Australia:** “The tall poppy gets cut down” — don’t be showy or pretentious.
- **Thailand:** “If you follow older people, dogs won’t bite you” — respect experience and wisdom.
- **Japan:** “The nail that sticks out gets hammered down” — group conformity beats individual display.
- Each idiom compresses a **core cultural value** into one sentence — which is why they resist translation.

Blunders in international advertising

Firm and location	Intended slogan	Literal translation
Parker Pen, Latin America	“Use Parker Pen, avoid embarrassment”	“Use Parker Pen, avoid pregnancy!”
Pepsi, Germany	“Come Alive with Pepsi”	“Come out of the grave with Pepsi”
Pepsi, Taiwan	“Come Alive with Pepsi”	“Pepsi brings your ancestors back from the dead”
Fisher Body, Belgium	“Body by Fisher”	“Corpse by Fisher”
Salem cigarettes, Japan	“Salem — Feeling Free”	“Smoking Salem makes your mind feel free and empty”

Translation is not localization: every slogan needs a native-speaker back-translation test before launch.

Even one language is two: US vs. British English

Word	Meaning in US English	Meaning in British English
Redundant	repetitive	fired or laid off
Scheme	a somewhat devious plan	a plan
Sharp	smart, clever	conniving, unethical
Windscreen	a screen that protects against the wind	automobile windshield
To table	to put an issue on hold	to take up an issue
To bomb	to fail miserably	to succeed grandly

If “to table a proposal” can mean opposite things in Washington and London, imagine what happens across genuinely different languages.

Nonverbal communication

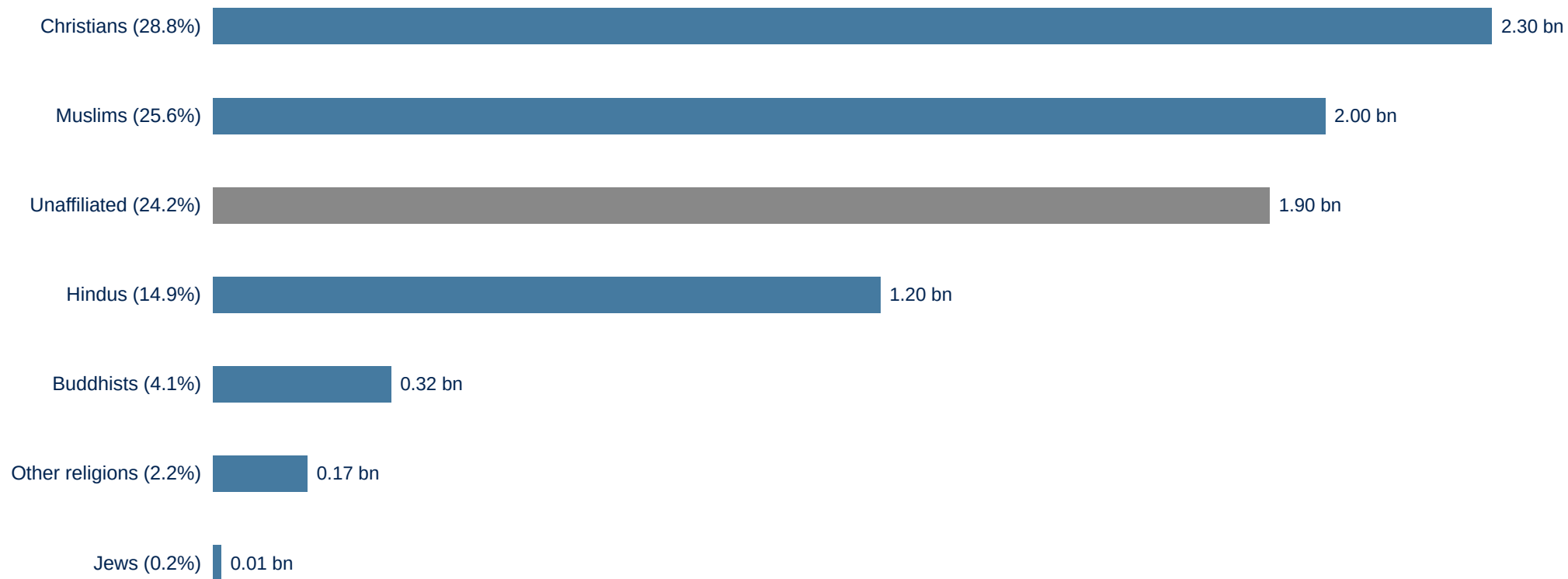
Much of what we “say” never passes our lips — and every channel below is culturally coded.

Facial expressions smiling, frowning	Eye movements direction of gaze	Hand movements waving, gestures	Head movements nodding — not always “yes”	Posture and stance slouching, bowing
Body contact handshakes, embraces	Closeness body proximity	Appearance tidiness, dress	Ways of talking volume, inflection	Sounds quietness, silence

- The Bulgarian head-shake for “yes”, the Japanese pause before answering, the American firm handshake — identical signals, different meanings.
- In high-context cultures (next section), the nonverbal channel often carries **more** information than the words.

- **Religion:** a system of common beliefs or attitudes about a being or system of thought that people consider sacred, divine or the highest truth — plus the associated moral codes, rituals and institutions.
- Religion shapes culture — and through it, **business and consumer behavior:** working days, holidays, diet, banking, dress, advertising norms.
- Example: the “**Protestant work ethic**” (Max Weber) emphasized hard work, individual achievement and the sense that people can control their environment — one classic explanation for early industrial capitalism.
- For managers, religion is not an opinion topic: it is **market infrastructure** — from halal and kosher certification to Ramadan campaign calendars and interest-free (sharia-compliant) finance.

World religions by adherents (billions, share of world population)



Adherents in billions, share of world population, 2020 data. Islam is the fastest-growing religion: +347 million Muslims 2010-2020, more than all other groups combined; the unaffiliated grew by +270 million.
Source: Pew Research Center, Global Religious Landscape update, June 2025.

The role of religion: business in Islamic societies

- In many Islamic societies, Islam is the basis for **government, legal and social systems** — and since outcomes reflect God's will, planning and forecasting carry a different meaning.
- The Qur'an prohibits **alcohol, gambling, usury (interest) and immodest exposure** — with direct consequences for product design, marketing and finance.
- **Example — Nokia:** launched a phone showing Muslims the direction of Mecca.
- **Example — Heineken:** rolled out Fayrouz, a non-alcoholic malt drink, for Islamic markets.
- **Islamic finance** replaces interest with profit-sharing and leasing structures — a global industry now worth trillions of US dollars.

In business, culture affects...

- Managing employees — motivation, hierarchy, feedback and what “good leadership” means.
- Communicating and dealing with distributors and other business partners.
- Negotiating and structuring business ventures.
- Developing products and services — what needs adapting, what can stay global.
- Preparing advertising and promotional materials.
- Screening and selecting foreign partners and employees.
- Preparing for trade fairs, business meetings and negotiations abroad.

Deal orientation vs. relationship orientation

- **Deal-oriented cultures:** managers focus on the task, stay impersonal, rely on contracts and want to “just get down to business” — e.g. Northern Europe, North America, Australia.
- **Relationship-oriented cultures:** managers value affiliation, rapport and getting to know the other party — deals emerge from relationships, not the other way round. E.g. China, Latin America, the Middle East.
- Practical rule: in relationship-oriented markets, the first trip is **never** about the contract — budget for time, meals and repeated visits.

Guanxi: relationships in Chinese business

- **Guanxi (关系):** social connections and relationships based on mutual benefit — central to doing business in China.
- Emphasizes the **reciprocal exchange of favors** and mutual obligations over time.
- Rooted in **Confucian philosophy**, which values social hierarchy and reciprocity.
- Engenders trust — serving as a form of **insurance** in an environment where formal institutions may be weaker.
- Western analogue: networking — but guanxi is deeper, longer-term and carries genuine obligations; treating it as a quick transaction is itself a cultural blunder.

Three layers: national, professional and corporate culture

National culture

Nationality · ethnicity · gender · religion · social institutions · social class · educational systems

Professional culture

Academe · business · banking · engineering · IT · legal · medical · military

Corporate culture

The firm's own norms — “how we do things around here”

- These are **progressive socializations** through a person's life: we acquire national culture as children, professional culture in education, corporate culture on the job.
- Your counterpart is never *only* “Chinese” or “American” — an engineer at Siemens Shanghai carries all three layers at once.

Based on Terpstra & David, The Cultural Environment of International Business (3rd ed.).

Managerial orientations: ethnocentric, polycentric, geocentric

- **Ethnocentric orientation:** Using our own culture as the standard for judging other cultures.
- **Polycentric orientation:** A mindset in which the manager develops a greater affinity for the country in which he or she works than for the home country.
- **Geocentric orientation:** A global mindset in which the manager is able to understand a business or market without regard to national boundaries. Managers should strive for a geocentric orientation.
- The goal of this course: move you from an **ethnocentric** toward a **geocentric** mindset.

Managerial guidelines for cross-cultural success

- Acquire **factual and interpretive knowledge** about the other culture; try to speak the language.
- **Avoid cultural bias** — beware the **self-reference criterion**: the unconscious tendency to view other cultures through the lens of your own.
- Develop **cross-cultural skills**: perceptiveness, interpersonal skill, adaptability.
- Use **critical incident analysis** for awkward moments: (1) identify the situation, (2) suspend judgment, (3) develop your best interpretation of the other side's behavior, (4) only then formulate your response — and learn from every incident.

Personality traits for cross-cultural proficiency

- **Tolerance for ambiguity:** Ability to tolerate uncertainty and lack of clarity in the thinking and actions of others.
- **Perceptiveness:** Ability to closely observe and comprehend subtle information in the speech and behavior of others.
- **Valuing personal relationships:** Ability to appreciate personal relationships; which are often more important than achieving one-time goals or “winning” arguments.
- **Flexibility and adaptability:** Ability to be creative in devising innovative solutions, be open-minded about outcomes, and show “grace under pressure.”

Models of culture: cultural metaphors

- A **cultural metaphor** is a distinctive tradition or institution strongly associated with a society — a decoding key for the whole culture.
- **American football:** systematic planning, strategy, leadership, struggle against rivals.
- **The Swedish stuga** (summer cottage): love of nature and the desire for individualism.
- **The Spanish bullfight:** ritual, style, courage and pride.
- And Austria? Suggestions from the class — the *Kaffeehaus*? The *Heuriger*? What would each say about doing business here?

PART 3

Measuring & Comparing Culture

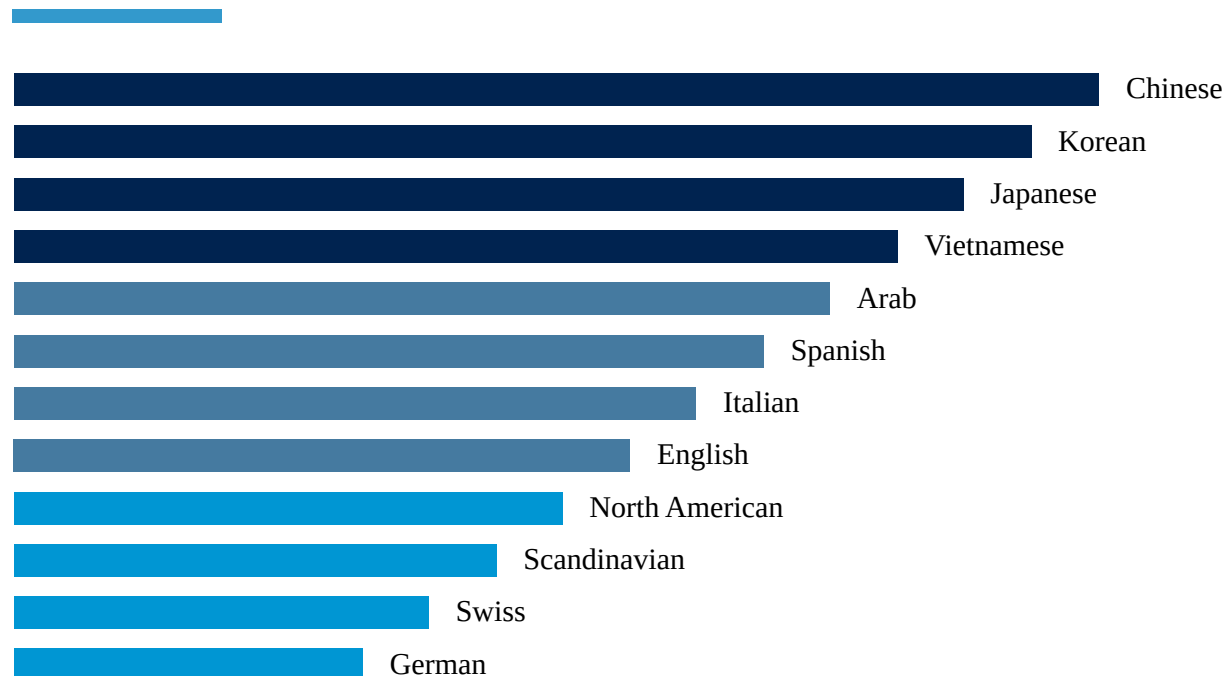
Hall, Hofstede, Schwartz and the GLOBE study



E. T. Hall: high- and low-context cultures

- **E. T. Hall** distinguished cultures by how much meaning sits in the words themselves versus the surrounding context.
- **Low-context cultures** rely on explicit, spoken explanations — clear, efficient communication; agreements are specific, legalistic contracts; “get down to business first”.
- **High-context cultures** emphasize nonverbal and indirect language — communication aims at smooth, harmonious relationships; trust comes first, negotiations are slower and more ritualistic.
- Neither is better: a Swiss engineer’s directness reads as rude in Tokyo; Japanese indirectness reads as evasive in Zurich. **Both sides are communicating correctly — in their own code.**

Hall's context continuum



High context

Establish social trust first · personal relations and goodwill valued
· agreements built on trust · negotiations slow and ritualistic

Low context

Get down to business first · expertise and performance valued ·
specific, legalistic contracts · negotiations as efficient as possible

Based on Edward T. Hall, Beyond Culture (1976). Bar length ≈ context-dependence of communication.

Measuring culture I: Hofstede's six dimensions

1. Power distance

How a society handles inequality. High: steep hierarchies, autocratic bosses (Malaysia, Philippines). Low: flat structures, consultative bosses (Austria, Denmark).

2. Individualism vs. collectivism

Do people act as individuals or group members? Individualist: self-interest, competition (US, UK). Collectivist: group loyalty, business in relationships (China, Colombia).

3. Masculinity vs. femininity

Achievement orientation. "Masculine": competitiveness, ambition, wealth (Japan, Austria). "Feminine": nurturing, interdependence, quality of life (Sweden, Norway).

4. Uncertainty avoidance

Tolerance for risk and ambiguity. High: rules, stable careers, slow decisions (Japan, Greece, Austria is fairly high). Low: entrepreneurial, comfortable with risk (Singapore, Denmark).

5. Long-term vs. short-term

Deferring gratification for the long view. Long-term: East Asia. Short-term: US and most Western countries.

6. Indulgence vs. restraint

Free gratification of desires and enjoying life (Denmark, Mexico, US) versus strict norms curbing it (China, Iraq, South Korea).

Geert Hofstede's IBM studies (1980) and later extensions (Hofstede, Hofstede & Minkov 2010); today maintained by The Culture Factor Group.

Hofstede scores compared: six countries

Dimension	Austria	USA	China	Japan	Brazil	Sweden
Power distance	11	40	80	54	69	31
Individualism	55	91	20	46	38	71
Masculinity	79	62	66	95	49	5
Uncertainty avoidance	70	46	30	92	76	29
Long-term orientation	60	26	87	88	59	53
Indulgence	63	68	24	42	59	78

Scores 0-100: Austria - extremely low power distance; Japan - extreme masculinity and uncertainty avoidance; Sweden - most 'feminine' (5); China - collectivist, long-term. Source: Hofstede, Hofstede & Minkov (2010); theculturefactor.com's 2023-rescaled individualism/long-term scores are not comparable.

Measuring culture II: Schwartz's cultural value orientations

Embeddedness

People as part of the collective — tradition, security, obedience

Hierarchy

Unequal distribution of power and roles is legitimate — authority, humility

Mastery

Assert control: change the world through ambition, daring, success

vs.

Intellectual & affective autonomy

Individuals pursue their own ideas (curiosity, creativity) and positive experiences (pleasure, excitement)

vs.

Egalitarianism

People are moral equals who cooperate voluntarily — social justice, honesty, responsibility

vs.

Harmony

Fit into the world as it is — unity with nature, peace, appreciation

- **Theory first, data second:** unlike Hofstede's post-hoc analysis of IBM surveys, Schwartz derived the value structure a priori and then validated it — data from **73 countries** (matched samples of schoolteachers and students, 1988–2000s).
- **Cultural regions:** Western Europe scores highest on egalitarianism and intellectual autonomy · Confucian Asia on hierarchy and mastery · English-speaking countries on mastery and affective autonomy · Africa and the Middle East on embeddedness.

Schwartz (1992), Advances in Experimental Social Psychology 25; Schwartz (2006), "A Theory of Cultural Value Orientations", Comparative Sociology 5(2–3), 137–182.

Measuring culture III: the GLOBE study

GLOBE (Global Leadership and Organizational Behavior Effectiveness), founded 1991 by Robert House — the 2004 landmark study covered ~17,300 middle managers in 951 organizations across 62 societies. Nine cultural dimensions:

Performance orientation	Assertiveness	Future orientation	Humane orientation	Institutional collectivism	In-group collectivism	Gender egalitarianism
Power distance	Uncertainty avoidance					

- **The key innovation:** every dimension is measured twice — as **practices** (“as is”) and as **values** (“should be”) — and the two are often *negatively* correlated: societies with rigid rules often wish for less of them (uncertainty avoidance is the classic case).
- **Leadership (CLT):** six culturally endorsed leadership styles — charismatic/value-based, team-oriented, participative, humane-oriented, autonomous, self-protective. **Integrity, visionary and trustworthy are valued everywhere;** ambition, risk-taking and formality are culturally contingent.
- **Application:** participative leadership scores highest in Germanic Europe (5.85) and lowest in the Middle East (4.96) — a Viennese manager’s “let’s discuss it” can read as weak leadership elsewhere. GLOBE data is used in expatriate preparation (e.g. Thunderbird’s Global Mindset Institute).
- **GLOBE 2020:** the third phase collected data in **144 countries** (300–500 managers each), adding trust and culture change; results have been rolling out since 2024.

House, Hanges, Javidan, Dorfman & Gupta (2004), *Culture, Leadership, and Organizations: The GLOBE Study of 62 Societies*, Sage; Javidan, Dorfman, Sully de Luque & House (2006), *Academy of Management Perspectives*; globeproject.com.

Apply it: the critical-incident clinic

IN-CLASS ACTIVITY · 15 MINUTES · SMALL GROUPS

Objective: practice the self-reference criterion and critical incident analysis on a real cross-cultural misfire.

- 1 Take one real incident: an advertising blunder from today's table, a faux pas from the opening activity, or a case a group member has experienced.
- 2 **Diagnose it with the frameworks:** which layer of the iceberg failed? Was it a context issue (Hall) — and which Hofstede dimensions collided?
- 3 **Run critical incident analysis:** suspend judgment, build the most charitable interpretation of the other side's behavior.
- 4 **Fix it:** what should the firm or manager do differently — in preparation, communication and follow-up?
- 5 Present your incident and fix in 2 minutes; the class votes for the best diagnosis.

Discussion questions

- Is globalization making national cultures converge — or are the deep layers of the iceberg immune to Netflix and Instagram?
- Austria scores very low on power distance but fairly high on uncertainty avoidance. Where do you see that in Austrian business life — and in this classroom?
- Can a manager ever become truly geocentric, or is some self-reference criterion inescapable?
- When does adapting to a local culture cross the line into violating your own ethical standards — and what should a firm do then?



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